

A budget with breathing room.

Meet Alex. There is €1,200 available this month. The job is to plan where it goes—and leave room for life to happen.

20-30 minutes

Pairs or solo

Fictional euro amounts

Your task: complete the table. “Need” and “want” depend on context; explain a borderline choice. The amounts are teaching examples, not a claim about living costs.

ITEM	PLANNED €	YOUR CATEGORY / REASON	AFTER SURPRISE €
Rent contribution	480		
Groceries	180		
Utilities	80		
Transport	50		
Phone plan	20		
Study materials	40		
Health costs	30		
Leisure	90		
Subscriptions	20		
Total spending			
Emergency-fund transfer	150	Saving, not spending	
Reserve for a €120 annual bill	10	Monthly set-aside	
Unallocated money		Income – spending – transfers	

Surprise: a necessary repair costs €120. Add it to your revised spending. Find a way to cover it without assuming extra income. Which costs can realistically change this month?

Plan A: Use the original unallocated money, then...

Plan B: A different workable response would be...

Choose: Which plan would you prefer for Alex, and what is its drawback?

Keep this exercise fictional. You do not need to disclose your own income, household finances or bank information.

The numbers tell a story.

A good budget is more than a total that adds up. It shows which decisions are still open.

Before the surprise

Income **€1,200**
 Spending **€990**
 Planned transfers **€160**
 Unallocated **€50**

After a €120 repair

Use the €50 margin first.
 The remaining gap is **€70**.
 Make an explicit adjustment to cover it.

One possible revised plan

CHANGE	AMOUNT €
Reduce leisure from €90 to €40	50 freed
Pause subscriptions from €20 to €0	20 freed
Spending after cuts, before the repair	920
Add the repair	120
Revised spending	1,040
Keep the original savings and reserve transfers	160
Unallocated money: €1,200 – €1,040 – €160	0

This plan balances, but leaves no margin for another surprise. It also assumes the subscriptions can be paused immediately without a fee and that €40 for leisure is acceptable. Check those assumptions before calling the plan workable.

A different plan

If Alex already has an emergency fund, the €50 margin plus €70 withdrawn from that fund covers the repair while leaving the original plan intact. The balance of the fund is €70 lower than it would otherwise have been. Alternatively, reducing this month's emergency-fund transfer from €150 to €80 frees €70; it also slows the fund's growth. These are different cash flows—do not count the same €70 twice.

Three things to notice

1. **Saving is a transfer.** Money moves between Alex's accounts. It is not consumed, but it is no longer unallocated cash in the current account.
2. **Annual costs still belong in a monthly plan.** $€120 \div 12 = €10$ a month. This works only with 12 months to prepare; a bill due next month needs a different plan.
3. **Categories need context.** Transport or internet access may be essential for work or education. A small leisure allowance can help make a plan sustainable.

Try a second shock: income falls to €1,050 before the month begins. With the original €1,150 allocation, the shortfall is €100. Suggest a feasible revision. Explain what you cannot infer without knowing more about Alex's commitments.

Teaching key: accept any correctly calculated, feasible plan with clear assumptions. Do not reward cutting necessary food, health care or housing simply because it makes the arithmetic easy.